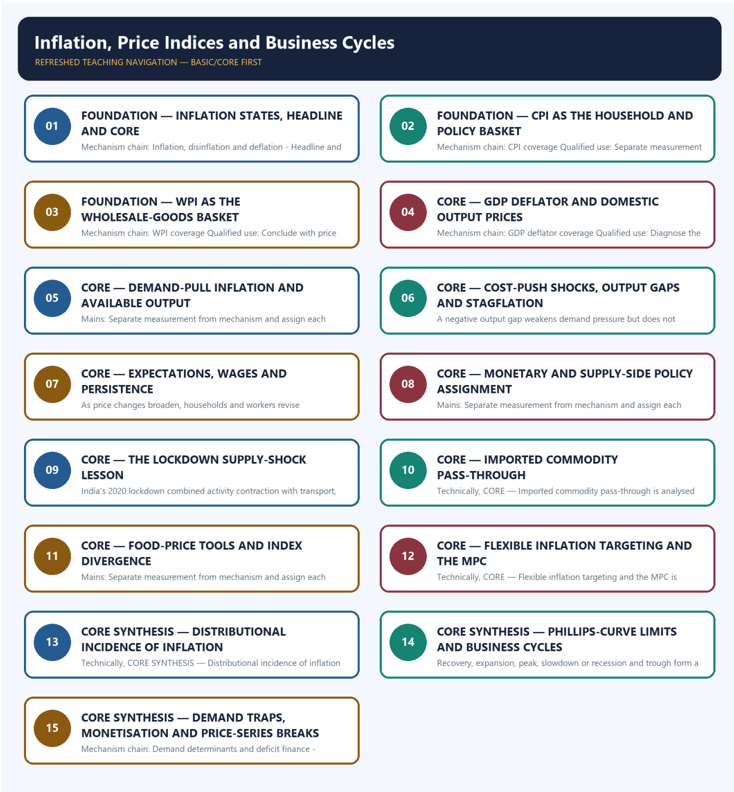
SOLVED PRACTICE WORKBOOK

Inflation, Price Indices and Business Cycles - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing



Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Inflation, Price Indices and Business Cycles - Solved Practice Workbook

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Inflation, disinflation and deflation?

A. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. B. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. C. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. D. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure.

Answer: A. Explanation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Inflation, disinflation and deflation?

A. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. B. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. C. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. D. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure.

Answer: B. Explanation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Inflation, disinflation and deflation without losing its vintage, basket or legal status?

A. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. D. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure.

Answer: C. Explanation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Inflation, disinflation and deflation?

A. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level.

Answer: D. Explanation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies Headline and core inflation?

A. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. D. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor.

Answer: A. Explanation: Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of Headline and core inflation?

A. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. B. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. C. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. D. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management.

Answer: B. Explanation: Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses Headline and core inflation without losing its vintage, basket or legal status?

A. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. B. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. C. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. D. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management.

Answer: C. Explanation: Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about Headline and core inflation?

A. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. B. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline.

Answer: D. Explanation: Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies CPI coverage?

A. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. B. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management.

Answer: A. Explanation: CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of CPI coverage?

A. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. B. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.

Answer: B. Explanation: CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses CPI coverage without losing its vintage, basket or legal status?

A. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. B. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. C. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. D. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.

Answer: C. Explanation: CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about CPI coverage?

A. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. B. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. C. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. D. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor.

Answer: D. Explanation: CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies WPI coverage?

A. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. D. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity.

Answer: A. Explanation: WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of WPI coverage?

A. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. B. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.

Answer: B. Explanation: WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses WPI coverage without losing its vintage, basket or legal status?

A. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. B. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. C. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. D. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent.

Answer: C. Explanation: WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about WPI coverage?

A. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. B. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. C. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. D. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure.

Answer: D. Explanation: WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies GDP deflator coverage?

A. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. B. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.

Answer: A. Explanation: The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of GDP deflator coverage?

A. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. D. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment.

Answer: B. Explanation: The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses GDP deflator coverage without losing its vintage, basket or legal status?

A. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. B. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. C. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. D. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment.

Answer: C. Explanation: The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about GDP deflator coverage?

A. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. B. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. C. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. D. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management.

Answer: D. Explanation: The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. The other options belong to different measures, vintages, baskets, instruments, institutions or

legal perimeters.

Q21. Which statement correctly identifies Demand-pull inflation?

A. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. B. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. C. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. D. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent.

Answer: A. Explanation: Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Demand-pull inflation?

A. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. B. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. C. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. D. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks.

Answer: B. Explanation: Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Demand-pull inflation without losing its vintage, basket or legal status?

A. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. B. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. C. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. D. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks.

Answer: C. Explanation: Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Demand-pull inflation?

A. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. B. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. C. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. D. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity.

Answer: D. Explanation: Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Cost-push and supply inflation?

A. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. B. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. C. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. D. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks.

Answer: A. Explanation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Cost-push and supply inflation?

A. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. B. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. C. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. D. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks.

Answer: B. Explanation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Cost-push and supply inflation without losing its vintage, basket or legal status?

A. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. B. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. C. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. D. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation.

Answer: C. Explanation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Cost-push and supply inflation?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. C. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. D. Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.

Answer: D. Explanation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Output gap and stagflation?

A. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. B. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. C. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. D. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation.

Answer: A. Explanation: A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Output gap and stagflation?

A. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. B. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. C. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. D. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers.

Answer: B. Explanation: A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Output gap and stagflation without losing its vintage, basket or legal status?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. C. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. D. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers.

Answer: C. Explanation: A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Output gap and stagflation?

A. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. B. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. C. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. D. A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment.

Answer: D. Explanation: A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Expectations and persistence?

A. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. B. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. C. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. D. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation.

Answer: A. Explanation: As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Expectations and persistence?

A. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. B. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. C. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. D. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response.

Answer: B. Explanation: As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Expectations and persistence without losing its vintage, basket or legal status?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. C. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. D. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers.

Answer: C. Explanation: As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Expectations and persistence?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. C. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. D. As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent.

Answer: D. Explanation: As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Policy assignment?

A. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. B. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. C. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. D. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response.

Answer: A. Explanation: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Policy assignment?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. C. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. D. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights.

Answer: B. Explanation: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Policy assignment without losing its vintage, basket or legal status?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. C. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. D. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights.

Answer: C. Explanation: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Policy assignment?

A. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. B. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. C. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. D. RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks.

Answer: D. Explanation: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Lockdown supply shock?

A. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. B. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. C. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. D. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights.

Answer: A. Explanation: India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Lockdown supply shock?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. C. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. D. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision.

Answer: B. Explanation: India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Lockdown supply shock without losing its vintage, basket or legal status?

A. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. B. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. C. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. D. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.

Answer: C. Explanation: India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Lockdown supply shock?

A. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. B. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. C. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. D. India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation.

Answer: D. Explanation: India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Imported commodity pass-through?

A. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. B. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. C. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. D. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response.

Answer: A. Explanation: The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Imported commodity pass-through?

A. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. B. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. C. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. D. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision.

Answer: B. Explanation: The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Imported commodity pass-through without losing its vintage, basket or legal status?

A. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. B. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. C. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. D. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together.

Answer: C. Explanation: The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Imported commodity pass-through?

A. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. B. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. C. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. D. The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers.

Answer: D. Explanation: The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies Food-price administration?

A. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. B. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. C. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. D. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.

Answer: A. Explanation: Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of Food-price administration?

A. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. B. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. C. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. D. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.

Answer: B. Explanation: Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses Food-price administration without losing its vintage, basket or legal status?

A. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. B. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. C. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. D. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response.

Answer: C. Explanation: Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about Food-price administration?

A. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. B. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. C. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. D. Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response.

Answer: D. Explanation: Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies Index divergence?

A. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. B. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. C. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. D. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.

Answer: A. Explanation: CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of Index divergence?

A. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. B. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. C. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. D. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together.

Answer: B. Explanation: CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses Index divergence without losing its vintage, basket or legal status?

A. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. B. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. C. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. D. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together.

Answer: C. Explanation: CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about Index divergence?

A. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. B. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. C. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. D. CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights.

Answer: D. Explanation: CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Inflation targeting framework?

A. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. B. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. C. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. D. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response.

Answer: A. Explanation: India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Inflation targeting framework?

A. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. B. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. C. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. D. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly.

Answer: B. Explanation: India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Inflation targeting framework without losing its vintage, basket or legal status?

A. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. B. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. C. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. D. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock.

Answer: C. Explanation: India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Inflation targeting framework?

A. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. B. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. C. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. D. India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision.

Answer: D. Explanation: India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The other options

belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies Distributional incidence?

A. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. B. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. C. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. D. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together.

Answer: A. Explanation: Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of Distributional incidence?

A. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. B. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. C. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. D. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly.

Answer: B. Explanation: Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses Distributional incidence without losing its vintage, basket or legal status?

A. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. B. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. C. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. D. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock.

Answer: C. Explanation: Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about Distributional incidence?

A. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. B. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. C. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. D. Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.

Answer: D. Explanation: Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies Phillips-curve limit?

A. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. B. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. C. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. D. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response.

Answer: A. Explanation: The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of Phillips-curve limit?

A. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. B. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. C. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. D. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level.

Answer: B. Explanation: The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses Phillips-curve limit without losing its vintage, basket or legal status?

A. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. B. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. C. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. D. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline.

Answer: C. Explanation: The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about Phillips-curve limit?

A. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. B. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. C. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. D. The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together.

Answer: D. Explanation: The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Business-cycle sequence?

A. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. B. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. C. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. D. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level.

Answer: A. Explanation: Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Business-cycle sequence?

A. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. B. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. C. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. D. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock.

Answer: B. Explanation: Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Business-cycle sequence without losing its vintage, basket or legal status?

A. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. B. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. C. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. D. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level.

Answer: C. Explanation: Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal

perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Business-cycle sequence?

A. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. B. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. C. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. D. Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response.

Answer: D. Explanation: Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Demand determinants and deficit finance?

A. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. B. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. C. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. D. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level.

Answer: A. Explanation: Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Demand determinants and deficit finance?

A. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. B. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. C. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. D. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor.

Answer: B. Explanation: Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Demand determinants and deficit finance without losing its vintage, basket or legal status?

A. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. B. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. C. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. D. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline.

Answer: C. Explanation: Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Demand determinants and deficit finance?

A. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. B. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. C. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. D. Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly.

Answer: D. Explanation: Consumer demand depends on income, expectations and substitute or complement prices, an inferior good can gain demand when income falls, and direct deficit monetisation is generally the most inflationary financing route because it expands reserve money directly. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Price-series break discipline?

A. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. B. Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. C. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. D. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor.

Answer: A. Explanation: MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Price-series break discipline?

A. Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. B. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. C. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. D. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure.

Answer: B. Explanation: MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Price-series break discipline without losing its vintage, basket or legal status?

A. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. D. CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor.

Answer: C. Explanation: MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Price-series break discipline?

A. Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. B. The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. C. WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. D. MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock.

Answer: D. Explanation: MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

The audited ledgers route 2019 GS-III on growth with low inflation, 2022 GS-II on managing inflation and unemployment beyond welfare schemes, and 2024 GS-III on food inflation and RBI effectiveness here. Objective routes on CPI-WPI, demand determinants, deficit monetisation and demand-pull inflation remain unkeyed in this package.

OWNER PYQ LEDGER EXTRACTS

9. PYQ application

- ANALYSIS: 2024 GS-III: Causes of persistent food inflation and limits of RBI monetary policy.
- ANALYSIS: Use PYQ logic to separate supply repair, fiscal action and monetary expectation

management.

Recent PYQ Integration (2024-2025)

> **Status:** 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS3-GS4-2024-2025.md`.

- **Years represented:** 2024
- **Paper(s):** GS-III
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	GS-III	2	Causes of high food inflation and effectiveness of RBI monetary policy	Comment · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Causes of high food inflation and effectiveness of RBI monetary policy

> This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS1-GS2-ESSAY-2018-2023.md`, `_PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md`, `_PYQ-ROUTING-PRELIMS-2018-2023.md`. **Answer-key rule:** The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2019, 2020, 2021, 2022
- **Paper(s):** GS-II, GS-III, Prelims GS-I
- **Routed question demands:** 6

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2019	GS-III	2	GDP growth and low inflation assessment of Indian economy	Discuss · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2020	Prelims GS-I	67	CPI and WPI food weightage services and RBI measure	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	4	Demand determinants substitute complement and inferior goods	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	10	Most inflationary method of financing budget deficit	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2021	Prelims GS-I	12	Demand-pull inflation causes in Indian economy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2022	GS-II	16	Managing inflation and unemployment beyond welfare schemes	Discuss · 15 marks · 250 words	Cross-cutting; both Economy routes terminate in answer-complete Core	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- GDP growth and low inflation assessment of Indian economy
- CPI and WPI food weightage services and RBI measure
- Demand determinants substitute complement and inferior goods
- Most inflationary method of financing budget deficit
- Demand-pull inflation causes in Indian economy
- Managing inflation and unemployment beyond welfare schemes

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

10. PYQ-based analytical application

- ANALYSIS: 2024 GS-III: Causes of persistent food inflation and limits of RBI monetary policy.
- ANALYSIS: Use PYQ logic to separate supply repair, fiscal action and monetary expectation

management.

Historical PYQ Integration (2018-2023)

> **Status:** Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: `_PYQ-ROUTING-MAINS-GS1-GS2-ESSAY-2018-2023.md`.

- **Years represented:** 2022
- **Paper(s):** GS-II
- **Routed question demands:** 1

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2022	GS-II	16	Managing inflation and unemployment beyond welfare schemes	Discuss · 15 marks · 250 words	Cross-cutting; the stem names both inflation and unemployment	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Managing inflation and unemployment beyond welfare schemes

> The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2019 GS-III

Demand: Discuss the Indian economy's GDP-growth and low-inflation combination.

Status: Verified routed Mains demand; original model solution.

Model solution: Inflation, disinflation and deflation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Demand-pull inflation:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Output gap and stagflation:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Index divergence:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 1 - 2019 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Inflation, disinflation and deflation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Demand-pull inflation:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Output gap and stagflation:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Index divergence:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Discuss the Indian economy's GDP-growth and low-inflation combination. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Inflation, disinflation and deflation: Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Demand-pull inflation:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Output gap and stagflation:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Index divergence:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “PYQ DEMAND CARD 1 - 2019 GS-III”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

PYQ DEMAND CARD 2 - 2022 GS-II

Demand: Discuss managing inflation and unemployment beyond welfare schemes.

Status: Verified cross-cutting Mains demand; original model solution.

Model solution: Policy assignment: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Distributional incidence:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Phillips-curve limit:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Business-cycle sequence:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 2 - 2022 GS-II”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Policy assignment: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Distributional incidence:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Phillips-curve limit:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Business-cycle sequence:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Discuss managing inflation and unemployment beyond welfare schemes. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified cross-cutting Mains demand; original model solution. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Policy assignment: RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Distributional incidence:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Phillips-curve limit:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Business-cycle sequence:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “PYQ DEMAND CARD 2 - 2022 GS-II”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

PYQ DEMAND CARD 3 - 2024 GS-III

Demand: Comment on causes of persistent food inflation and the effectiveness of RBI monetary policy.

Status: Verified routed Mains demand; original model solution.

Model solution: Cost-push and supply inflation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Policy assignment:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Food-price administration:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Inflation targeting framework:** India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 3 - 2024 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Cost-push and supply inflation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Policy assignment:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Food-price administration:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Inflation targeting framework:** India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Comment on causes of persistent food inflation and the effectiveness of RBI monetary policy. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Cost-push and supply inflation: Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Policy assignment:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Food-price administration:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Inflation targeting framework:** India's 2016 flexible inflation-targeting framework made headline CPI the formal nominal anchor and assigned the six-member MPC the collective repo-rate decision. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “PYQ DEMAND CARD 3 - 2024 GS-III”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish inflation, disinflation and deflation. Answer in about 150 words.

Model thesis: Claim: Inflation, disinflation and deflation. **Named evidence/example:** Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Headline and core inflation. **Named evidence/example:** Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level.
- Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline.

Qualified conclusion: Claim: Inflation, disinflation and deflation. **Named evidence/example:** Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Headline and core inflation. **Named evidence/example:** Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Distinguish inflation, disinflation and deflation. Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Inflation, disinflation and deflation. **Named evidence/example:** Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Headline and core inflation. **Named evidence/example:** Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Inflation, disinflation and deflation. **Named evidence/example:** Inflation is a sustained rise in the general price level, disinflation is a fall in the inflation rate while prices may still rise, and deflation is a sustained fall in the general price level. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Headline and core inflation. **Named evidence/example:** Headline CPI includes food and fuel, while core inflation conventionally excludes them; relative component movements mean core is not mechanically always below headline. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish inflation, disinflation and deflation. Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why are CPI, WPI and the GDP deflator not interchangeable? Answer in about 150 words.

Model thesis: Claim: CPI coverage. **Named evidence/example:** CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WPI coverage. **Named evidence/example:** WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP deflator coverage. **Named evidence/example:** The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Index divergence. **Named evidence/example:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor.
- WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure.
- The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management.
- CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights.

Qualified conclusion: Claim: CPI coverage. **Named evidence/example:** CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WPI coverage. **Named evidence/example:** WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP deflator coverage. **Named evidence/example:** The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Index divergence. **Named evidence/example:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on "Why are CPI, WPI and the GDP deflator not interchangeable? Answer in about 150 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: CPI coverage. **Named evidence/example:** CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WPI coverage. **Named evidence/example:** WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP deflator coverage. **Named evidence/example:** The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Index divergence. **Named evidence/example:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: CPI coverage. **Named evidence/example:** CPI is a retail consumer basket that includes services and has a larger food component than WPI; headline CPI is India's formal inflation-targeting nominal anchor. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** WPI coverage. **Named evidence/example:** WPI is a wholesale-goods price index compiled by the Office of the Economic Adviser, excludes services and is not a household cost-of-living measure. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP deflator coverage. **Named evidence/example:** The GDP deflator is derived from nominal and real national accounts and covers domestically produced final goods and services; it is broader but less suited to monthly retail-inflation management. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Index divergence. **Named evidence/example:** CPI, WPI and the GDP deflator can diverge because household services, wholesale goods and domestically produced final output have different coverage and weights. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why are CPI, WPI and the GDP deflator not interchangeable? Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain demand-pull and cost-push inflation with Indian evidence. Answer in about 250 words.

Model thesis: Claim: Demand-pull inflation. **Named evidence/example:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Lockdown supply shock. **Named evidence/example:** India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Imported commodity pass-through. **Named evidence/example:** The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity.
- Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.
- India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation.
- The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers.

Qualified conclusion: Claim: Demand-pull inflation. **Named evidence/example:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Lockdown supply shock. **Named evidence/example:** India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Imported commodity pass-through. **Named evidence/example:** The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Explain demand-pull and cost-push inflation with Indian evidence. Answer in about 250 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Demand-pull inflation. **Named evidence/example:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Lockdown supply shock. **Named evidence/example:** India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Imported commodity pass-through. **Named evidence/example:** The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Demand-pull inflation. **Named evidence/example:** Demand-pull inflation arises when aggregate spending grows faster than available output, especially as the positive output gap narrows spare capacity. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim: Lockdown supply shock. **Named evidence/example:** India's 2020 lockdown combined activity contraction with transport, mandi and logistics disruption, illustrating why a negative output gap does not guarantee low headline inflation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Imported commodity pass-through. **Named evidence/example:** The 2021-22 commodity surge and Russia-Ukraine war raised crude, edible-oil and fertiliser costs, with pass-through shaped by taxes, subsidies, exchange rates and buffers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Explain demand-pull and cost-push inflation with Indian evidence. Answer in about 250 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess the distributional effects of inflation and disinflation. Answer in about 250 words.

Model thesis: Claim: Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Phillips-curve limit. **Named evidence/example:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.
- The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together.
- Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response.

Qualified conclusion: Claim: Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as

CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Phillips-curve limit. **Named evidence/example:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **assess** requires a direct position on "Assess the distributional effects of inflation and disinflation. Answer in about 250 words.", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Phillips-curve limit. **Named evidence/example:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet

or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Phillips-curve limit. **Named evidence/example:** The short-run Phillips curve is a demand-management guide rather than a mechanical law; supply shocks can worsen inflation and output together. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Assess the distributional effects of inflation and disinflation. Answer in about 250 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Design a coordinated response to persistent food inflation without weakening farm incentives. Answer in about 300 words.

Model thesis: Claim: Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Policy assignment. **Named evidence/example:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Food-price administration. **Named evidence/example:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand.
- RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks.
- Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response.
- Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly.

Qualified conclusion: Claim: Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Policy assignment. **Named evidence/example:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Food-price administration. **Named evidence/example:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Design a coordinated response to persistent food inflation without weakening farm incentives.…”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Policy assignment. **Named evidence/example:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Food-price administration. **Named evidence/example:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Cost-push and supply inflation. **Named evidence/example:** Cost-push inflation arises from input costs or supply constraints, so crop failure, logistics disruption or imported commodity scarcity can raise prices even with weak demand. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Policy assignment. **Named evidence/example:** RBI and the MPC manage demand and expectations through rates, liquidity and communication, while governments use buffers, taxes, trade, logistics and anti-hoarding tools against physical supply shocks. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Food-price administration. **Named evidence/example:** Onion-price episodes and Price Stabilisation Fund interventions show why perishables may need buffer, logistics and calibrated trade action rather than a repo-only response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Distributional incidence. **Named evidence/example:** Inflation harms poor and fixed-income households most because food and fuel occupy larger budget shares and indexation such as CPI-IW-linked dearness allowance protects organised workers unevenly. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Design a coordinated response to persistent food inflation without weakening farm incentives.…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Analyse inflation through output gaps, expectations, business cycles and index-vintage discipline. Answer in about 300 words.

Model thesis: Claim: Output gap and stagflation. **Named evidence/example:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expectations and persistence. **Named evidence/example:** As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-series break discipline. **Named evidence/example:** MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment.

- As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent.
- Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response.
- MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock.

Qualified conclusion: Claim: Output gap and stagflation. **Named evidence/example:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expectations and persistence. **Named evidence/example:** As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-series break discipline. **Named evidence/example:** MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **analyse** requires a direct position on "Analyse inflation through output gaps, expectations, business cycles and index-vintage…", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Output gap and stagflation. **Named evidence/example:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expectations and persistence. **Named evidence/example:** As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-series break discipline. **Named evidence/example:** MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Output gap and stagflation. **Named evidence/example:** A negative output gap weakens demand pressure but does not prevent supply-shock inflation; stagflation combines inflation with weak growth or high unemployment. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expectations and persistence. **Named evidence/example:** As price changes broaden, households and workers revise consumption, wage demands and expectations, which can make an initially temporary shock more persistent. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Business-cycle sequence. **Named evidence/example:** Recovery, expansion, peak, slowdown or recession and trough form a stylised business cycle, while potential output and the source of the shock determine the suitable policy response. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Price-series break discipline. **Named evidence/example:** MoSPI began current CPI releases on a 2024=100 series from January 2026 and the Office of the Economic Adviser introduced a 2022-23-base WPI for the May 2026 release onward; a revised basket is a measurement update, not a price shock. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Analyse inflation through output gaps, expectations, business cycles and index-vintage…”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.